Ansoff's Matrix

Four Growth Routes

product x market = growth!

Strategic Management

In simple words *Ansoff's matrix tells a firm how to grow: sell old or new products in old or new markets.*

1 Ansoff's Matrix

A growth strategy grid that combines existing/new products with existing/new markets to give four strategy choices.

Also called Product-Market Growth Matrix

2 Diversification

Growth through a new product in a new market. It carries the highest risk of the four strategies.

New + New = highest risk

1. Two axes: Product (existing or new) and Market (existing or new)
2. Four strategies: penetration, market development, product development, diversification
3. Risk rises as the firm moves away from what it already knows
4. Market penetration is the lowest risk; diversification is the highest



Swipe for the summary →

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THE 2 x 2 GRID

Ansoff's Product-Market Matrix

read it row by row

STRATEGY	PRODUCT	MARKET
Market penetration	Existing	Existing
Market development	Existing	New
Product development	New	Existing
Diversification	New	New

CHANGE ONE BOX, OR CHANGE BOTH! Only the part that is new changes: new market means market development, new product means product development.

Swipe for a memory trick →

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STUDY TRICK

Ansoff's Product-Market Matrix

name tells you the new part

OLD-OLD, OLD-NEW, NEW-OLD, NEW-NEW

Say Product then Market in order: Penetration, Market dev., Product dev., Diversification. Market dev. is Old product, New market.

HOW TO ATTEMPT IT

1 Read the product: existing or new? → 2 Read the market: existing or new? → 3 Match the pair to the grid → 4 Name the strategy, add the risk level

EXAM TIP

In case studies, look for the verb: more sales to current customers is penetration; new region or segment is market development.

DOUBT BUSTER

Is entering a new country with the same product diversification? No. The product is the same, only the market is new, so it is market development. Diversification needs both product and market to be new.

Swipe for common mistakes →

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COMMON MISTAKES

Ansoff's Product-Market Matrix

swapped boxes cost marks

✗ Calling a new product in the existing market 'market development'

✓ New product in existing market is product development.

✗ Calling same product to a new geography 'diversification'

✓ Same product in a new market is market development; diversification needs both new.

✗ Saying market penetration means entering new markets

✓ Penetration means more sales of existing products in existing markets, with the lowest risk.

Save this for revision!

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